maintaining good relations with both China and India. The era of 1970s could be seen as a period when the Indo-Nepal relations saw a positive turn. King Birendra emphasized peace and amity between countries with contiguous borders. During this time, minor irritants were kept aside and both tried to settle problems mutually and peacefully.

In 1983, India extended the treaty of trade for another five years which underscored cooperation of both as well as many trading facilities being provided by India. India also committed to purchase power generated from the proposed MW Karnali hydro-electric project. However, in 1987, India's action of air dropping food supplies and aid to Tamils in Jaffna in Sri Lanka created tension between India and Nepal. The signing of the peace Accord between India and Sri Lanka in July 1987 was welcomed by Nepal. With the introduction of work permit to foreigners seeking employment, which also included India, created tension. Again this was seen as a violation of the terms of 1950 Treaty. Yet relations between both the countries went on well. Both signed an agreement for setting up of a Joint Commission to increase cooperation. Tensions again surfaced in 1989 with the differences between the two over signing of a new trade and transit Treaty. With the lapse of the Treaty, Nepal was badly hit and there was acute shortage of diesel, petrol and essential commodities. With the coming of the National Front government, things again started taking a positive turn. While Nepal insisted on two separate trade and transit Treaties, India insisted on a single consolidated Treaty. Both sides however, struck at a cordial note and restored *status quo ante* on 1 April 1987 in trade and transit agreement. This was followed by India reopening its land customs stations and reactivating transit points. Nepal also agreed to restore tariff preference for Indian goods. The Treaty of 1950 contained formal provisions of trade which was modified in 1961 and 1971 and provisions for transit facilities were incorporated. In 1978, in place of a single Treaty, three different agreements were signed. These treaties were modified significantly in 1991. In December 1991, a Summit meeting at New Delhi was held between Prime Ministers of both the countries which was followed by signing of several agreements. India also signed two treaties on trade and transit with